

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2016	31.03.2015	Bank	31.03.2016	Group Consolidated	31.03.2016
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
A. ASSETS						
1	Cash balances (both local and foreign)	293,144	322,997	300,007	293,144	322,997
2	Balances due from Central Bank of Kenya	2,212,712	4,126,559	3,319,657	2,212,712	4,126,559
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-
	I) Held to Maturity:	-	1,571,403	3,374,489	-	1,571,403
	a. Kenya Government securities	-	1,571,403	3,374,489	-	1,571,403
	b. Other securities	-	-	-	-	-
	II) Available for sale:	254,911	579,578	792,947	254,911	579,578
	a. Kenya Government securities	254,911	579,578	792,947	254,911	579,578
	b. Other securities	-	-	-	-	-
6	Deposits and balances due from local banking institutions	7,412,427	4,909,600	3,499,314	7,412,440	4,909,600
7	Deposits and balances due from banking institutions abroad	75,058	608,070	319,858	75,058	608,070
8	Tax recoverable	-	-	-	6,394	13,421
9	Loans and advances to customers (net)	47,688,648	53,021,022	53,446,774	47,688,648	53,021,022
10	Balances due from banking institutions in the group	-	-	-	-	-
11	Investments in associates	-	-	-	-	-
12	Investments in subsidiary companies	1,605,120	-	-	-	-
13	Investment in Joint ventures	201,017	255,561	255,561	201,017	1,080,213
14	Investment properties	-	-	-	602,740	1,319,204
15	Property and equipment	1,323,353	1,339,222	1,148,448	1,323,854	1,341,930
16	Prepaid operating lease rentals	39,745	39,398	39,360	45,877	45,161
17	Intangible assets	649,269	818,733	1,073,435	649,269	819,147
18	Deferred tax asset	445,431	584,879	564,872	446,455	576,351
19	Retirement benefit asset	-	-	-	-	-
20	Other assets	580,238	631,632	987,510	1,303,110	1,324,543
21	TOTAL ASSETS	62,781,072	68,808,654	69,122,232	62,515,629	71,659,434
B. LIABILITIES						
22	Balances due to Central Bank of Kenya	-	-	-	-	-
23	Customer deposits	34,314,786	41,887,526	41,059,849	33,069,616	41,665,085
24	Deposits and balances due to local banking institutions	-	-	-	-	-
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-
27	Borrowed funds	17,101,929	17,465,953	17,447,751	17,248,929	18,540,375
28	Balances due to banking institutions in the group	-	-	-	-	-
29	Tax payable	74,769	10,722	143,719	78,825	110,068
30	Dividends payable	29,189	-	-	29,189	63,949
31	Deferred tax liability	-	-	-	-	43
32	Retirement benefit liability	-	-	-	-	-
33	Other liabilities	1,439,836	354,499	1,026,125	1,977,101	657,273
34	TOTAL LIABILITIES	52,960,509	59,718,700	59,677,444	52,403,660	61,036,793
C. SHAREHOLDERS' FUNDS						
35	Paid up /Assigned capital	1,741,233	5,000,000	5,000,000	1,741,233	1,744,483
36	Share premium/(discount)	4,304,950	3,513,662	3,513,662	4,304,950	4,339,712
37	Revaluation reserves	701,892	-	-	701,892	701,463
38	Retained earnings/Accumulated losses	2,893,298	165,918	60,176	3,184,703	3,225,082
39	Statutory loan loss reserves	-	393,046	506,940	-	393,046
40	Other Reserves	(45,245)	(33,422)	13,260	(45,245)	(58,678)
41	Proposed dividends	173,685	-	300,000	173,685	226,783
42	Capital grants	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	9,820,564	9,089,954	9,444,788	10,111,969	10,622,641
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	62,781,072	68,808,654	69,122,232	62,515,629	71,659,434

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 MARCH 2016	31.03.2015	Bank	31.03.2016	Group Consolidated	31.03.2016
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1 INTEREST INCOME						
1.1	Loans and advances	1,633,277	7,218,269	2,071,150	1,633,277	7,218,269
1.2	Government securities	8,788	122,955	99,756	8,788	122,955
1.3	Deposits and placements with banking institutions	148,931	758,890	129,946	148,931	756,912
1.4	Other Interest Income	-	-	-	-	-
1.5	Total interest income	1,790,996	8,100,114	2,300,852	1,790,996	8,098,136
2 INTEREST EXPENSES						
2.1	Customer deposits	597,562	2,891,701	891,859	596,770	2,857,720
2.2	Deposits and placement from banking institutions	-	-	-	-	-
2.3	Other interest expenses	411,705	1,626,833	408,882	411,705	1,628,462
2.4	Total interest expenses	1,009,267	4,518,534	1,300,741	1,008,475	4,486,182
3 NET INTEREST INCOME/(LOSS)		781,729	3,581,580	1,000,111	782,521	3,611,954
4 OTHER OPERATING INCOME						
4.1	Fees and commissions on loans and advances	57,779	191,678	43,014	57,779	191,678
4.2	Other fees and commissions	22,651	106,536	36,281	51,316	151,008
4.3	Foreign exchange trading income/(Loss)	3,277	59,959	(7,863)	3,277	59,959
4.4	Dividend Income	-	200,000	-	-	-
4.5	Other income	14,940	122,388	51,797	56,103	768,444
4.6	Total Non-interest income	98,646	680,561	123,229	168,475	1,171,089
5 TOTAL OPERATING INCOME		880,375	4,262,141	1,123,340	950,996	4,783,043
6 OPERATING EXPENSES						
6.1	Loan loss provision	144,709	503,771	136,895	144,709	503,771
6.2	Staff costs	248,168	1,004,192	235,282	258,156	1,098,664
6.3	Directors' emoluments	1,655	18,746	1,105	1,775	19,630
6.4	Rental charges	13,308	61,493	19,346	13,898	61,493
6.5	Depreciation charge on property and equipment	23,762	93,489	29,759	23,832	93,924
6.6	Amortisation charges	5,026	10,739	62,555	5,026	10,799
6.7	Other operating expenses	180,134	832,810	198,181	223,824	274,599
6.8	Total Other Operating Expenses	616,763	2,525,240	683,123	671,220	3,112,537
7 Profit/(loss) before tax and exceptional items		263,612	1,736,901	440,217	279,776	1,670,506
8	Exceptional items	-	83,012	-	40,668	83,012
9 Profit/(loss) after exceptional items		304,281	1,819,913	440,217	320,444	1,753,518
10	Current tax	(91,284)	(620,264)	(132,065)	(98,892)	(684,242)
11	Deferred tax	-	125,121	-	-	127,693
12 Profit/(loss) after tax and exceptional items		212,996	1,324,770	308,152	221,552	1,196,969
13 Other Comprehensive Income						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	-	(19,190)	66,689	-	(19,190)
13.3	Revaluation surplus on Property, plant and equipment	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	5,757	(20,007)	-	5,757
14 Other Comprehensive Income for the year net of tax		-	(13,433)	46,682	-	(13,433)
15 Total comprehensive income for the year		212,996	1,311,337	354,834	221,552	1,183,536
Earnings per share		2.45	-	-	2.54	3.43
Dividend per share		-	-	-	-	1.30

III	DISCLOSURES AS AT 31 MARCH 2016	31.03.2015	Bank	31.03.2016	Group Consolidated	31.03.2016
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1 Non-Performing Loans and Advances						
a)	Gross non-performing loans and advances	3,871,637	4,097,356	4,523,977	3,871,637	4,097,356
b)	Less: Interest in Suspense	403,075	610,211	622,128	403,075	610,211
c) Total non-Performing loans and advances (a-b)		3,468,562	3,487,145	3,901,849	3,468,562	3,487,145
d)	Less: Loan loss provisions	603,677	992,862	1,176,480	603,677	992,862
e) Net non-performing loans and advances(c-d)		2,864,885	2,494,283	2,725,369	2,864,885	2,494,283
f)	Discounted value of securities	2,864,885	2,494,283	2,725,369	2,864,885	2,494,283
g) Net Exposure(e-f)		-	-	-	-	-
2 Insider loans and advances						
a)	Directors, shareholders and associates	448,553	735,933	716,632	448,553	735,933
b)	Employees	916,974	1,002,120	1,044,560	916,974	1,002,120
c) Total insider Loans and Advances		1,365,527	1,738,053	1,761,192	1,365,527	1,738,053
3 Off-Balance Sheet items						
a)	Letters of credit, guarantees and acceptances	81,099	256,256	258,720	81,099	256,256
b)	Other contingent liabilities	-	-	-	-	-
c) Total contingent liabilities		81,099	256,256	258,720	81,099	256,256
4 Capital Strength						
a)	Core capital	8,342,307	8,094,702	7,854,891	-	-
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	-	-
c)	Excess/Deficiency	7,342,307	7,094,702	6,854,891	-	-
d)	Supplementary capital	1,599,837	1,453,235	1,484,727	-	-
e)	Total capital (a+d)	9,942,144	9,547,937	9,339,618	-	-
f)	Total risk weighted assets	46,194,268	52,671,912	53,743,238	-	-
g)	Core capital /Total deposit liabilities	24.31%	19.32%	19.13%	-	-
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	-	-
i)	Excess/Deficiency	16.31%	11.32%	11.13%	-	-
j)	Core capital /Total risk weighted assets	18.06%	15.37%	14.62%	-	-
k)	Minimum Statutory Ratio	10.50%	10.50%	10.50%	-	-
l)	Excess/Deficiency (j-k)	7.56%	4.87%	4.12%	-	-
m)	Total capital /Total risk weighted assets	21.52%	18.13%	17.38%	-	-
n)	Minimum Statutory Ratio	14.50%	14.50%	14.50%	-	-
o)	Excess/Deficiency (m-n)	7.02%	3.63%	2.88%	-	-
5 Liquidity						
a)	Liquidity Ratio	28.31%	28.04%	26.85%	-	-
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	-	-
c)	Excess(Deficiency) (a-b)	8.31%	8.04%	6.85%	-	-



HF GROUP
Dreams Made Possible

Housing Finance is now HF GROUP






HF Group is regulated as a Non-Systemic Holding Company by the Central Bank of Kenya

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke.

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

SAM WAWERU
HFC LTD Managing Director

FRANK IRERI
Group Managing Director

STEVE O. MAINDA
Chairman

www.hfgroup.co.ke

HFC is a wholly owned subsidiary of HF Group
HFC is regulated by the Central Bank of Kenya